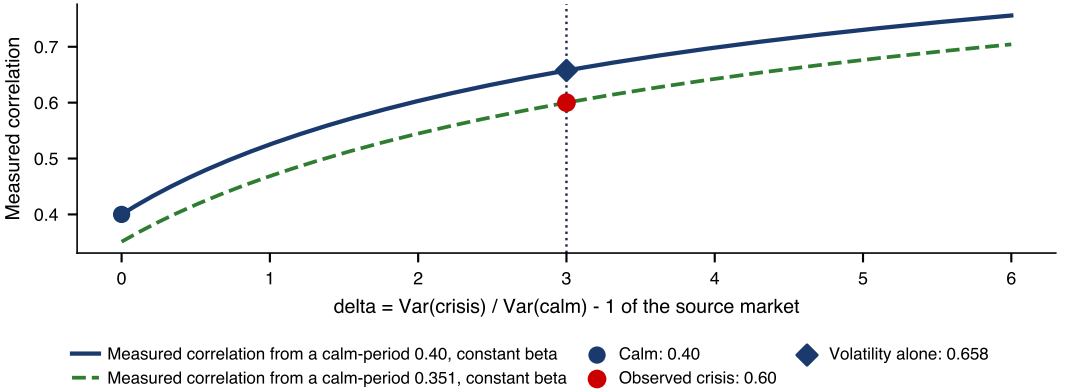
Measured correlation
0.7
0.6
0.5
0.4
0
1
2
3
4
5
6
delta = Var(crisis) / Var(calm) - 1 of the source market
Measured correlation from a calm-period 0.40, constant beta
Measured correlation from a calm-period 0.351, constant beta
Calm: 0.40
Observed crisis: 0.60
Volatility alone: 0.658